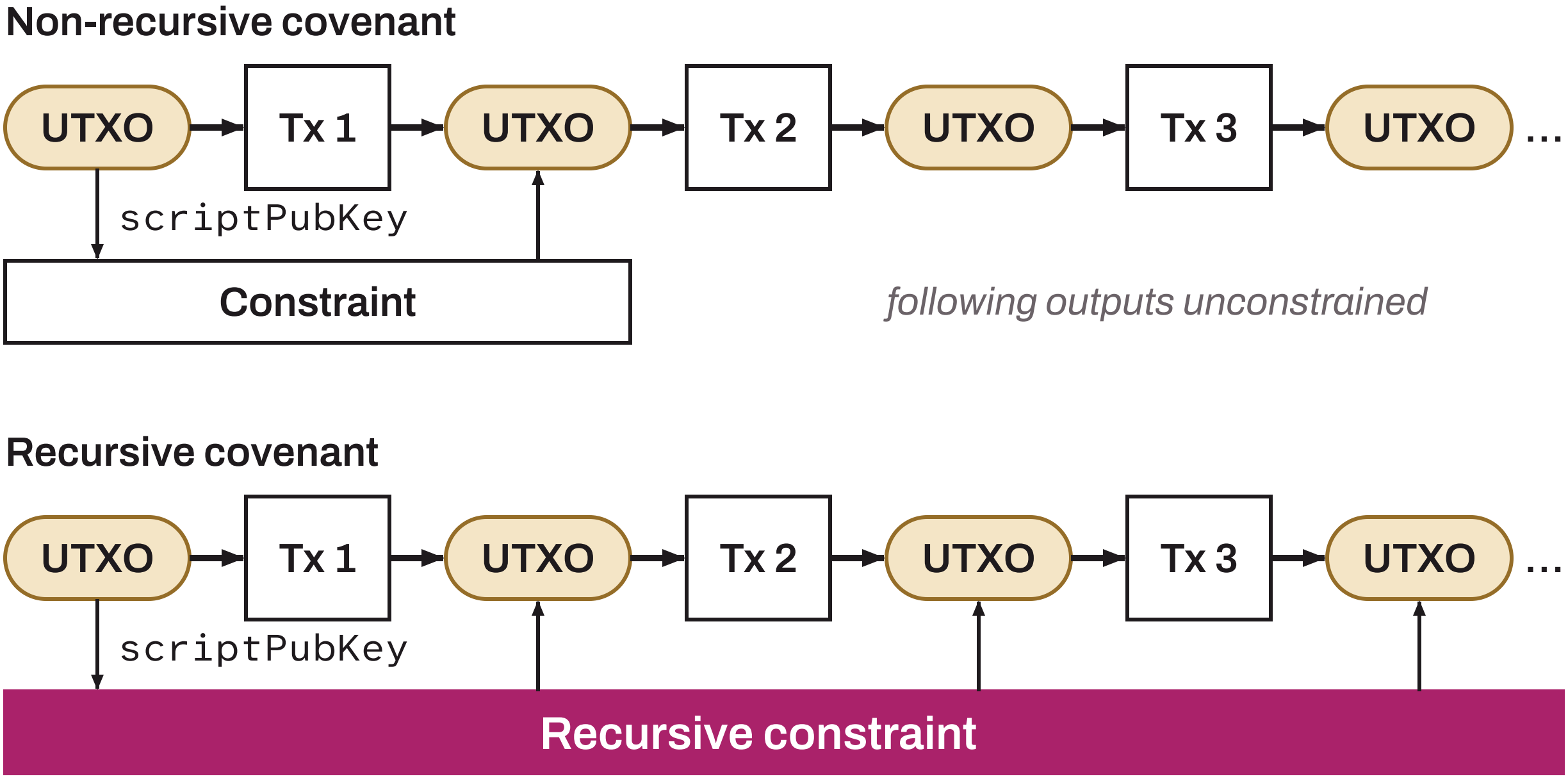
Non-recursive covenant
UTXO
Tx 1
UTXO
Tx 2
UTXO
Tx 3
UTXO
…
scriptPubKey
Constraint
following outputs unconstrained
Recursive covenant
UTXO
Tx 1
UTXO
Tx 2
UTXO
Tx 3
UTXO
…
scriptPubKey
Recursive constraint